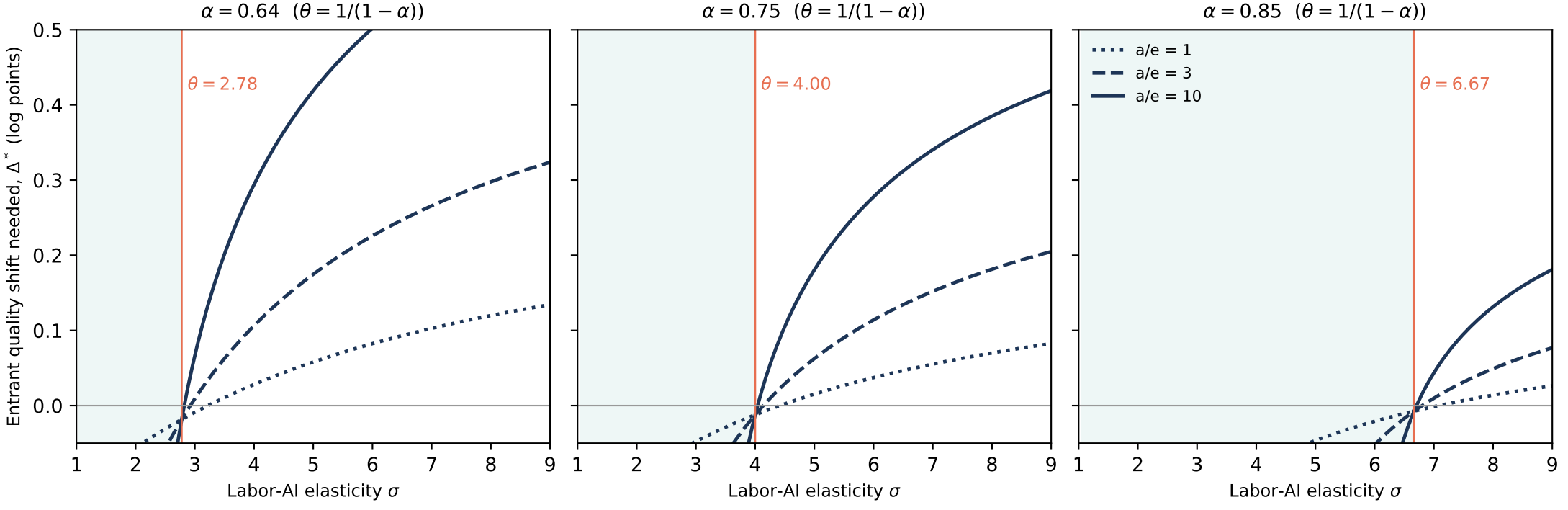
$\alpha = 0.64$ $(\theta = 1/(1-\alpha))$
$\alpha = 0.75$ $(\theta = 1/(1-\alpha))$
$\alpha = 0.85$ $(\theta = 1/(1-\alpha))$
$\theta = 2.78$
$\theta = 4.00$
$\theta = 6.67$
a/e = 1
a/e = 3
a/e = 10
Entrant quality shift needed, Δ^* (log points)
Labor-AI elasticity σ
0.5
0.4
0.3
0.2
0.1
0.0
1
2
3
4
5
6
7
8
9